

Summary

- At retirement one should strive to create a diversified portfolio of products that protect against various retirement risks. Take a portion of your 401(k), 403(b), IRA, or any other retirement plan, tax sheltered or not, and make sure to allocate a portion of the money to some sort of annuity instrument, whether fixed or variable, immediate or deferred—get some mortality credits.
- In the accumulation phase, asset allocation is the most important decision that people face with their investments. If you allocate too much of your retirement nest egg to any one asset class, economic sector, or industry, you are setting yourself up for disappointment. Diversify your assets. In the retirement income phase, however, product allocation will become (even) more important.
- PrARI methodology helps individuals and their advisors determine and decide how to split or distribute their retirement nest egg across the wide universe of choices. This process should not be ad hoc. Make sure there is a sound justification for your retirement product allocation.

Endnotes

¹ Note that PrARI[®] is a registered trademark owned by the QWeMA Group and used with its permission.

This chapter has been heavily influenced by extensive discussions I have had with financial advisors, insurance practitioners, and many individual retirees over the last few years. I owe each of them a debt of gratitude for helping me refine my thinking on the importance of product allocation in retirement. The cases I have used in this chapter draw heavily from a white paper that I wrote for MetLife Investors in mid-2008, and I would like to thank them for permission to reproduce a few of the charts and examples. A much more detailed statistical analysis and discussion of the asset allocation within variable annuities is available in Milevsky and Kyrychenko (2008). The article by Ameriks, Veres, and Warshawsky (2001) was one of the first to make the argument that a retirement income portfolio should contain some mixture of basic income annuities to increase sustainability. The role and importance of annuities in a retirement income portfolio is discussed at length in the book by Brown,